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ECONOMIC SURVEYS

I - 2 - B - 4

SWEDEN

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS APRIL 1965

BASIC STATISTICS OF SWEDEN

THE LAND

Area (1,000 sq.km)	450
Lakes (1,000 sq.km)	39
Arable area (1,000 sq.km)	33
Woodland (1,000 sq.km)	225

Major cities (Dec. 1964) :

— Stockholm	792,000
— Gothenburg	418,000
— Malmo	246,000

THE PEOPLE

Population (Dec. 1964)	7,695,000
No. of inhabitants per sq.km	17
Net natural increase (average 1960-1963)	31,740
Net natural increase per 1,000 inhabitants (average 1959-1963)	4,2
Net annual immigration (average 1959-1963)	10,100

PRODUCTION

Gross National Product in 1964 (millions of Kronor)	89,330
GNP per head (U.S. $)	2,255

Gross fixed capital formation (1964) :

— Percentage of GNP	24
— Per head, U.S. $	536

THE GOVERNMENT

Public consumption in 1964 (percentage of the GNP)	19
General government current revenue in 1963 (percentage of the GNP)	41
Public gross fixed capital formation in 1963 (percentage of the GNP)	4
Public debt at end 1963 (ratio to general government revenue in 1963)	97

Composition of Parliament (No. of seats) :

	1st Chamber	2nd Chamber
— Social democrats	78	113
— Liberals	26	42
— Conservatives	26	32
— Centre	19	35
— Communists	2	8
— MBS, Civic Coalition	—	3
	151	233

Last general election: 1964

Next general election: 1968

LIVING STANDARDS

Calories per head, per day (1962-1963)	2,990
Average hourly earnings of male industrial workers in 1963 (in Kronor)	7,91
Number of passenger cars in use per 1,000 inhabitants (June 1964)	211
Number of telephones per 1,000 inhabitants (1964)	423
Number of radio sets per 1,000 inhabitants (1964)	385
Number of T.V. sets per 1,000 inhabitants (1964)	255

FOREIGN TRADE

Exports :

Exports of goods and services as a percentage of GNP (average 1959-1963)	26
Main exports (percentage of total commodity exports 1964) :	
— Forestry products	30
— Machinery, apparatus and transport equipment	34
— Iron and steel	8
— Iron ore	6

Imports:

Imports of goods and services as a percentage of GNP (average 1959-1963)	27
Main imports (percentage of total commodity imports 1964):	
— Machinery, apparatus and transport equipment	28
— Raw materials (non-edible) and fuels	20
— Metals and metal products	13
— Food, beverages and tobacco	12

THE CURRENCY

Monetary unit : Krona

Currency units per U.S. $ 5,17

ECONOMIC SURVEYS BY THE OECD

SWEDEN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

The faster rate of growth resumed in the second half of 1963, following a period of weaker demand conditions, continued in 1964. The expansion was led by exports and investment demand, with particularly sharp increases in residential construction, public fixed investment and inventory accumulation; industrial investment remained at the previous year's level. The pressure of demand rose, with a tendency towards some overheating of the economy, notably in building and construction. Prices and costs continued to rise but the current external deficit remained virtually unchanged. The foreign exchange reserves rose substantially because of an inflow of foreign funds. The more restrictive demand management policies adopted in 1963 have been reinforced, with the emphasis being placed on monetary restraint; the budget, on the other hand, has shown little tendency to move in a contra-cyclical manner.

Part I of the following Survey summarizes the main economic trends for 1964 and the prospects for 1965. Part II discusses the policies which the Swedish authorities have been following and the outstanding problems facing policy-makers in 1965.

I. THE CURRENT SITUATION

Output and Employment

Preliminary estimates suggest that the real gross national product rose by 6.0 per cent in 1964, faster than the 4.9 per cent achieved in 1963. This was partly due to more favourable weather conditions, but there was also an improvement in the underlying trend, partly because the rise in demand was better adapted to capacity conditions than in 1963. This enabled a much higher rate of capacity utilisation, particularly in the forestry, iron and metal industries. The acceleration of the expansion was particularly strong in industrial production, from an increase of 5.5 per cent in 1963 to one of 9 per cent in 1964 (see Table 2). Since employment in manufacturing industry rose by only 0.5 to 1 per cent,

productivity increased considerably, partly because of better capacity utilisation.

The authorities expect the real GNP to rise by about 4 per cent in 1965, with industrial production rising by 6 per cent. The slowdown is mainly due to the smaller physical scope for expansion, given the very full employment of existing resources and assuming normal weather conditions. The shortage of labour is likely to constitute the main bottleneck, preventing the full utilisation of capacity in some sectors, including the engineering industry which is producing largely for exports. Agricultural output rose considerably in 1964, influenced by a good harvest; the authorities expect a slight decline in 1965, continuing the normal trend of recent years.

TABLE 1. **BALANCE OF RESOURCES, 1962-1965**

Percentage change from previous year.

	1962	1963	1964 PRELIMINARY	1965 ESTIMATES
Imports	6.2	6.6	10.5	7
Gross National Product	2.9	4.9	6.0	4
Total supply	3.5	5.2	6.5	4.5
Gross fixed asset formation	4.1	5.2	6.3	5
Change in stocks (Kr. million)	+ 437	— 138	+ 446	+ 300
Private consumption	3.6	5.2	4.4	2.5
Public consumption	4.1	7.1	5.7	7
Exports of goods and services (net)	6.2	7.7	10.5	5.5
Total demand	3.5	5.2	6.5	4.5

Source: Preliminary National Budget for 1965.

The strain on the labour market increased in 1964. The demand for labour rose considerably, but the supply seems to have remained stable; there was a continued net influx of foreign labour (mainly from Finland) and the number of people of working age rose somewhat, but the participation of married women in the labour force may have declined. Increases in employment in construction (3 per cent), industry (0.5 to 1 per cent), and the service sectors (2 per cent) were offset by decreases in other sectors, notably agriculture (4 to 5 per cent). In the period January-October the number of vacancies exceeded the level of a year earlier by

Table 2. PRODUCTION

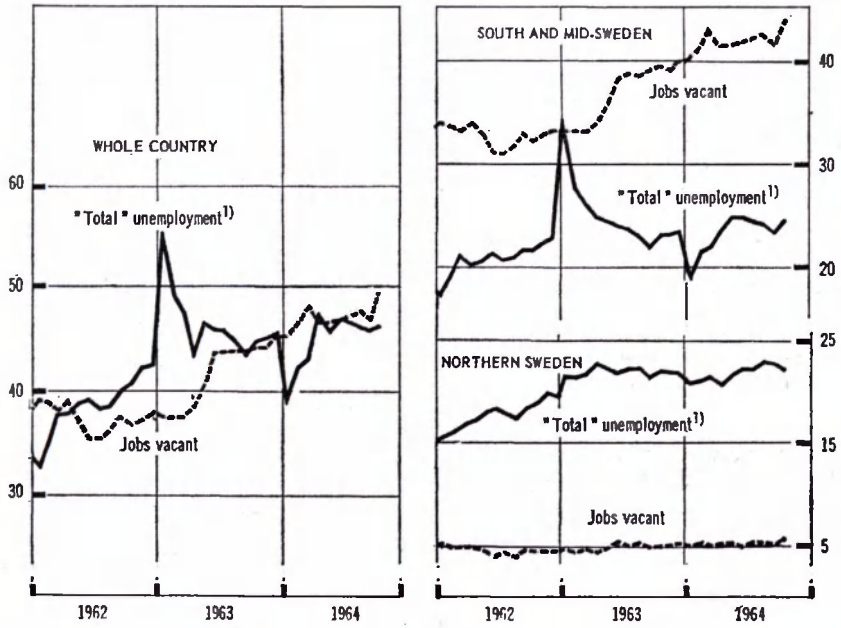
Percentage change from previous year. Volume.

	1963	1964	1965 ESTIMATE
Agriculture	— 7.5	5.5	— 4
Forestry	— 3	16	3
Building and construction	5.5	6	5.5
Electric light and power	— 1.5	11.5	7.5
Mining and manufacturing	5.5	9	6
Total services	5	2.5	4
Gross national product	5	5.5	4.5[1]

1. This estimate differs somewhat from that made on the basis of demand trends.
Source: National Institute of Economic Research, and Preliminary National Budget for 1965.

Diagram 1. **JOBS VACANT (mid of month) and « TOTAL » UNEMPLOYMENT. — 1962-1964**

Thousands persons. Seasonally adjusted monthly figures



1. Registered unemployed, persons in relief work, on training courses etc.
Source: Preliminary National Budget 1965.

5 per cent, while unemployment was lower than a year earlier. In the last months of the year, the rise in the number of vacancies was accompanied by some increase in unemployment, because of some regional and structural imbalance.

Demand for labour is likely to continue to rise in 1965. Allowing for an extension of the summer holidays, the authorities reckon that an estimated rise in production of 4 per cent will require an increase in the number of employed of about 1 per cent. Since the supply of labour may well rise less than this, the strain on the labour market may tend to increase. The production estimates will require higher employment notably in industry and construction, and demand for labour in the service sectors may continue to grow. Employment in agriculture should continue to decline. The structural and regional imbalances may tend to increase rather than decrease; the increase in the labour force mainly consists of women, and sectors where employment is likely to decline are concentrated in the North, while the shortage of labour is felt mainly in the South. Such trends will only serve to underline the need for still greater mobility.

Demand

Exports have been an important dynamic element in the current expansion. Between 1963 and 1964 the value of commodity exports (excluding ships) rose by 16 per cent, of which 4 percentage points resulted from higher prices; volume and price movements for individual commodity groups are summarized in Table 3. The rate of increase became more moderate in the second half of last year, partly because of a slowdown in inventory accumulation in certain foreign markets. The national budget envisages a further increase in exports of 8 per cent in the present year, of which 2 percentage points are expected to result from higher prices, mainly because prices rose in the course of 1964 so that the year-end level was higher than the average for the year. This forecast was to some extent based on estimates made in the early autumn, before the introduction of restrictive measures in the United Kingdom, an important market for Swedish exports; the forecast has therefore been somewhat reduced. In 1963, Britain took 13 per cent of Swedish commodity exports; the British import surcharge affects about 6 per cent of Sweden's exports. Nevertheless, the Swedish authorities expect a significant increase in exports. At the end of 1964 the order position of Swedish export industries was very good, and in recent years Sweden's share of world exports has increased fairly steadily.

Gross fixed investment also rose strongly (6.5 per cent in real terms) between 1963 and 1964, see Table 4. Public investment rose faster than this, notably at the local level; Central Government investment increased by 4 per cent. Private fixed investment included a sharp increase in resi-

TABLE 3. **EXPORTS, 1963-1965**

Percentage change from previous year.

	MILLION KRONOR	VOLUME			PRICE		
	1963	1963	1964 PRELIMINARY	1965 ESTIMATES	1963	1964 PRELIMINARY	1965 ESTIMATES
Timber	1,166	6.9	16.4	− 5	1.1	5.7	3
Pulp	1,953	13.8	8.7	5	2.0	7.5	4
Paper, etc.	1,695	12.2	12.1	6	0.3	0.9	0.5
Metalliferous ores	1,003	3.4	19.6	1	− 7.5	1.3	1.5
Basic metals	1,506	13.3	14.4	7	− 3.4	5.3	1
Engineering products	5,038	0.9	13.1	8	4.9	3.4	3.5
Foodstuffs	618	3.4	− 8.5	4	3.9	9.4	− 4.5
Other goods	2,279	9.6	12.1	10	1.9	3.3	3
Total exports excluding ships	15,258	7.2	12.1	6	1.2	4.1	2.5
Ships	1,310	25.6	0.7	15	− 0.7	− 9.7	− 5
Total exports	16,568	8.4	11.4	6.5	1.1	3.0	2

Source: Central Bureau of Statistics, and the Preliminary National Budget for 1965.

dential construction (9 per cent). Industrial investment, which had risen very little in 1962 and 1963, fell slightly in 1964.

Investment in building and construction has risen fast in recent years; in 1964 this type of investment represented 16 per cent of GNP. Last year the building and construction sector employed about 10 per cent of the labour force. There has been a particularly strong increase in investment in residential construction, rising by 8 per cent in 1963 and 9 per cent in 1964. The number of dwellings completed per thousand inhabitants rose to 11.4 last year, a higher ratio than in most other countries. The volume of housebuilding is strongly influenced by government policy. More than 90 per cent of all houses built benefit from government credits and interest rate subsidies. Normally the Government provides only top credits, ranging from 15 to nearly 30 per cent of the cost of a house or a dwelling, while 70 per cent of the cost is financed by borrowing on the credit market. Since the Government has assumed a special responsibility for the total financing of housing investments, the effects on the capital market of " private " borrowing for housing purposes will not differ much from those of government borrowing.

The authorities expect a further increase in fixed investment in 1965, again led by the local authorities. The Government is aiming at limiting the rise in residential construction to 1 to 2 per cent, with a decline in

TABLE 4. GROSS FIXED INVESTMENT, 1950-1965

Percentage volume changes per annum.

	1964 MILLION KR.	1950-60	1960-65	1962-63	1963-64	1964-65
Private gross fixed investment	18,211	3.5	5.0	4.5	5.5	4.5
Public gross fixed investment	13,344	5.5	6.2	6.0	7.5	6.0
Central government gross fixed investment.....	6,596	5.4	2.9	0.5	4.0	3.5
Local government gross fixed investment.....	6,748	5.6	10.0	12.5	11.0	8.5
Total fixed gross investment.	31,555	4.3	5.5	5.0	6.5	5.0
Of this:						
Industrial investment	6,910	3.0	5.0	2.5	— 1.5	6.5
Housing.....	6,553	3.1	6.1	8.0	9.0	1.0

Source: National Institute of Economic Research and The Preliminary National Budget for 1965.

housing starts, thereby restricting the demands on the capital market from the house-building sector in order to create scope for a revival of industrial investment — but experience shows that plans to achieve a substantial slowdown of the growth of residential construction are frequently modified in execution, given the strong demand pressures in this sector. Industrial investment is expected to rise by 6.5 per cent between 1964 and 1965. This forecast is based on an investment survey taken last autumn. Although the interpretation of this survey is difficult, the authorities feel that a revival of industrial investment is likely in 1965, given the improvement in profit margins in 1964, the existing high rates of capacity utilisation, and prospects for continued expansion in 1965. Moreover, the stability of industrial investment in recent years has reflected a sharp decline in the pulp and paper, and the iron and steel industries, and a rising trend in other sectors; a further decline in the former industries is unlikely, and since a further increase in the latter would seem likely, prospects should be for an increase in total fixed industrial investment in 1965. Such estimates as can be made with regard to the scope for self-financing and the flow of credits suggest that a revival of industrial investment should not be prevented by lack of finance. But such estimates are subject to wide margins of error, and some uncertainty about industry's policy to finance high investment remains, given the existing tightness in credit and capital markets, and the prospect of little relaxation of monetary policy in 1965. The restrictive monetary policy is being keenly felt by the local authorities, obliging them to exercise some restraint in investment activities and inducing them to resort to a higher degree of self-financing through the use of higher taxation.

TABLE 5. INDUSTRIAL FIXED INVESTMENT

Kr. million, 1959 prices.

	1961	1962	1963	1964
Pulp and paper industries	720	770	385	380
Iron and steel works	455	390	425	340
Engineering industry, (excluding shipyards)	880	880	990	995
Other industries	1,375	1,440	1,695	1,590

Source: Preliminary National Budget for 1965.

The movement of inventories contributed considerably to the increase in aggregate demand in 1964; the turnaround from decumulation in 1963 to accumulation in 1964 represented about 0.7 to 0.8 per cent of GNP. Investment in inventories is expected to show a further, but more moderate, increase in 1965, mainly reflecting growing stocks in industry of all types of goods. Including inventory accumulation, real business investment should rise by 8 per cent from 1964 to 1965, compared with 9 per cent from 1963 to 1964.

Existing budgets for the government sector, both at the central and local levels, point to an increase in public consumption of 8 per cent between 1964 and 1965. Given the shortage of labour, the authorities feel that the increase may in fact be somewhat smaller, about 7 per cent — but still more than in 1964 (5.5 per cent).

Private consumption is expected to rise by only 2.5 per cent from 1964 to 1965, much less than last year (4.5 per cent). This estimate is based on the assumption made in the Preliminary National Budget of an 8 per cent increase in the total wage bill (about the same as in 1964). With a smaller increase in non-wage incomes, and with an increase in net tax payments, private disposable incomes are expected to increase by 6.8 per cent. Higher prices, including an increase in indirect taxation from 1st July, are expected to reduce the rise in real disposable incomes to rather less than 2 per cent. Assuming some decline in the personal savings ratio, real consumer expenditure may rise somewhat faster than this. The main impact of the rise is likely to be felt in the first half of the year, because higher taxation will reduce the rise in real disposable incomes in the second half of the year, and an acceleration of consumer purchases in anticipation of the higher indirect taxes is to be expected. More recent indicators suggest that private incomes may rise somewhat more than assumed in the National Budget.

Costs and Prices

Changes in the wage bill and in hourly industrial wage costs in 1963 and 1964 and estimates for 1965 are summarized in Table 6. The two-year wage agreements concluded in the spring of 1964 covered most wage and salary earners and provided for average increases in wage rates of about 3.9 per cent in 1964 and about 4.3 per cent in 1965, and some increase in fringe benefits. Total hourly wage costs in industry, including wage-drift, rose by 8.5 per cent both in 1963 and 1964. With output per man-hour rising by 6 to 7 per cent a year in this period, the increase in industrial unit labour costs amounted to about 2 per cent a year, probably less than in many other European countries.

TABLE 6. **FACTORS BEHIND CHANGES IN WAGE BILL AND IN HOURLY INDUSTRIAL WAGES, 1962-1965**

	WAGE BILL			HOURLY INDUSTRIAL WAGE COSTS		
	1963	1964	1965	1963	1964	1965
Percentage increase on a calendar year basis due to:						
1. Wage agreement revisions.....	5	3.75	4.5	3	2	3.5
2. Wage-drift.....	1.5	2	2	3.75	4.5	4
3. Fringe benefits paid by employers	0.5	0.5	0.33	1.75	1.75	1.5
4. Change in employment	1	2	1.5	..	..	..
Total.....	8	8.5	8	8.5	8.5	9

Source: National Institute of Economic Research and the Preliminary National Budget for 1965.

The shortage of labour has led to a significant wage-drift. To a large extent this is a reflection of the increase in the ability of the employers to pay higher wages because of the advance in productivity. But wage-drift is also related to the employers' ability to increase prices. It has varied from industry to industry, partly depending on the degree of competition prevailing in both labour and product markets. In the last few years, notably in 1963 and 1964, wage-drift has been particularly strong in building and construction. This industry has been operating in a seller's market, with strong pressure of demand and little or no competition from abroad. The wage-drift thus reflects the industry's need to attract labour, and its ability to pay higher wages. Employment in this sector has risen by more than 6 per cent over the last two years, faster than in any other industry.

Table 7. CHANGES IN WAGES AND EMPLOYMENT FOR SELECTED GROUPS, 1960-1964

Changes, in per cent, from previous years.

	1960	1961	1962	1963	1964
Wages:					
Manufacturing industry (per hour)	6.6	7.9	8.4	7.0	6.5
Building and construction (per hour)	8.1	8.1	8.7	9.2	8.0
Average for total economy	5	5.5	6.5	6.5	7
Wage-drift:					
Manufacturing industry (per hour)	3.7	4.1	4.0	4.1	4.5
Building and construction (per hour)	5.6	4.5	5.1	6.6	6.0
Per employed, total economy	2	2	2.5	2.5	2.5
Employment:					
Manufacturing industry	5	3	0	—1.5	1
Building and construction	1.5	0.5	1	3	3.5
Total employment	2.5	1.5	2	1.5	1.5

Source: National Institute of Economic Research.

A too-strong increase in wage differentials would seem to be undesirable, since it may spark off competition between individual industries to regain or improve their relative positions, thus increasing the pressure on wages.

Table 8. CHANGE IN CONSUMER PRICES THE EFFECT OF DIFFERENT FACTORS

Change, in per cent, in the course of:

	1962	1963	1964	1965
1. The effects of wage costs on price setting in sectors protected from foreign competition	2.2	1.1	1.5	1.7
2. Administrative price changes (chiefly affecting rents and agricultural prices)	1.2	1.1	1.2	0.9
3. Direct repercussions of international price movements	—0.2	0.7	0.9	0.5
4. Price changes of a fortuitous nature	—	—0.1	—	0.2
5. Policy decisions with direct effect on prices (for example, higher indirect taxes)	1.8	0.6	0.2	2.5
Total change	5.0	3.4	3.8	5.8

Source: National Institute of Economic Research and The Preliminary National Budget for 1965.

The consumer price index rose by 3.8 per cent in the course of 1964, slightly faster than during the previous year. The upward movement in 1964 can mainly be ascribed to higher wage costs, particularly in the service sectors, and adjustments of agricultural prices and rents. The authorities feel that high demand in domestic commodity markets played a minor role. During the present year, these factors may push up consumer prices at about the same rate as in 1964, with higher wage costs probably accounting for about half the increase. But as a result of higher indirect taxation from 1st July, consumer prices are likely to show an additional increase of about 2.5 per cent.

Balance of Payments

The deficit on the current account of the balance of payments amounted to $ 32 million in 1964, about the same as in 1963. The authorities expect an increase in the deficit to $ 60 million in 1965. The rising current deficit can be ascribed to a deterioration of the invisibles account. Shipping earnings are not rising much, partly because of the depressed freight market and partly because the Swedish merchant fleet ceased to grow in 1963. The rise in the deficit on " other services " is mainly due to a rapid increase in Swedish tourist expenditure abroad. With imports rising at about the same rate as exports, the trade balance has not changed much. The rise in both imports and exports should slow down in 1965.

One feature to be noted in Swedish policy is the use of foreign exchange control on capital transactions. Its main function is to support monetary policy. While the control applies in principle to both exports and imports

TABLE 9. **BALANCE OF PAYMENTS**

$ million.

	1960	1961	1962	1963	ESTIMATE 1964	FORECAST 1965
Exports (f.o.b.)	2,567	2,746	2,926	3,203	3,674	3,996
Imports (c.i.f.)	2,902	2,931	3,124	3,393	3,855	4,182
Trade balance	− 335	− 185	− 198	− 190	− 181	− 186
Shipping earnings, net	262	267	279	283	290	290
Other services, net	− 39	− 70	− 110	− 124	− 141	− 164
Current balance	− 112	12	− 29	− 31	− 32	− 60
Registered capital transactions	− 15	− 6	− 2	− 42	40	19
Errors and omissions	96	168	141	44	154	..
Change in foreign exchange reserves	− 31	174	110	− 28	162	..

Source: Preliminary National Budget for 1965, with some official adjustments.

of capital, its impact in prevailing circumstances is mostly felt as regards the imports of capital. With some exceptions — mainly with respect to foreign direct investments in Sweden and credits linked with international commercial transactions — restrictions are being actively applied in this field. In principle this control is exercised in such a way as to prevent the inflow of foreign funds for the financing of Swedish domestic activity. The municipalities, for example, are not allowed to raise loans abroad, nor are permits granted for the financing abroad of Swedish residential and industrial building or industrial production. Moreover, Swedish securities may not as a rule be purchased in the Swedish market by non-residents. On the other hand, such securities may be purchased from abroad by residents; Swedish direct investments abroad are also in practice free as well as the repatriation of foreign direct investments in Sweden. Foreign holdings of kronor in the Swedish commercial banks are, except for minor amounts, not interest-bearing.

The foreign exchange reserves increased by $ 155 million in 1964 to about $ 1 billion at the end of the year, the equivalent of about three months' imports (c.i.f.). The strong increase in reserves was mainly due to a large inflow under " errors and omissions ", probably to a large extent consisting of unrecorded current receipts, the remainder mostly being a short-term capital inflow (mainly trade credits) influenced by the tightening of monetary

TABLE 10. **IMPORTS, 1963-1965**

Percentage increase from previous year.

	MILLION KRONOR	VOLUME			PRICE		
	1963	1963	1964	1965 ESTIMATES	1963	1964	1965 ESTIMATES
Durable consumers' goods	1,676	18.2	15.6	6.5	2.0	1.0	1.5
Non-durable consumers' goods	2,424	11.9	9.9	5	3.0	2.9	3.5
Capital goods	2,262	3.7	8.1	8	5.0	5.8	3.5
Raw materials for industrial production of consumers' goods	2,127	8.5	5.8	3.5	1.0	7.9	3.5
Other raw materials for industrial production	5,372	3.1	15.2	8.5	0	3.2	0.5
Raw materials for buildings	616	3.2	16.2	6.5	1.0	1.6	0
Raw materials for agriculture	459	0	11.3	7.5	3.5	2.1	1
Fuel	2,127	8.2	6.8	9.5	1.0	– 2.7	– 1.5
Total	17,063	6.3	11.3	7	1.0	3.1	1.5
Total, incl. ships, aircraft, weapons	17,542	6.5	10.3	7	1.0	3.1	1.5

Source: Central Bureau of Statistics and the Preliminary National Budget for 1965.

conditions in Sweden. The movement of short-term funds is difficult to predict. The authorities expect a decline in the inflow in 1965, partly because of the tightening of credit policy in some other countries in recent months, and partly because deliveries from Swedish shipyards to other countries (more than $ 200 million) are likely to exceed payments on ships from abroad (about $ 120 million). This credit to other countries may, however, be financed to some extent by borrowing abroad.

II. ECONOMIC POLICY

The tendency towards overheating in the economy has been met by a progressively tighter stabilisation policy. A striking feature of this has been the heavy reliance placed on monetary policy. Budget policy has contributed little to the restraint of demand. The deterioration of the overall budget balance seems to have been reduced or stopped, but it has not been reversed; and the size of the budget has continued to increase fast. An active labour market policy has been continued.

TABLE 11. MONETARY POLICY MEASURES

1963	Spring	Commercial banks reminded by Central Bank that the liquidity ratios recommended earlier had to be observed (30 per cent for big banks and 25 per cent for other banks).
	June	Bank rate raised from 3.5 to 4 per cent.
	Summer and Autumn	Government bond issue with higher interest rate.
1964	January	Bank rate raised to 4.5 per cent.
	February	Government bond issue with higher interest rate (5.75 per cent). Introduction of penalty rate of 9 per cent on loans from Central Bank to any commercial bank exceeding half the amount of the commercial bank's own capital and reserves.
	April	In the case of non-observance of liquidity ratios, penalty rate applied to Central Bank credit to any commercial bank that exceeded 25 per cent of the commercial bank's own capital and reserves.
	November	Bank rate raised to 5 per cent, and the penalty rate to 10 per cent. Government bond issue at par bearing 6 per cent rate of interest.

TABLE 12. **COMMERCIAL BANK LIQUIDITY**

Million kronor.

	1961	1962	1963	1964
Change in commercial banks' liquid asets, as defined by Central Bank[1]	544	1,480	– 183	649
Resulting from:				
a) Change in official gold and foreign exchange reserves	902	571	– 147	838
b) Government expenditure surplus	– 365	– 599	201	261
c) Government borrowing outside the Central and commercial banks. Short-term loans from the Post Office Bank are also deducted (increase –).	226	748	– 126	– 654
d) Notes in circulation outside the commercial banks (increase –)	– 287	– 429	– 509	– 549
e) Deposits on investment accounts at the Riksbank (increase –)	– 86	333	32	– 103
f) Commercial banks' net purchases of mortgage institutions' bonds (face values)	170	475	– 32	772
g) Change in short-term assets held by the Post Office Bank and the National Pension Insurance Fund.	– 23	436	119	– 2
h) Other	7	– 55	279	86
Change in commercial banks short-term liquid assets[2].	837	333	327	139
Change in commercial banks net position vis-à-vis Central Bank (Dec.-Dec.)	81	– 101	– 149	3

1. Short-term domestic and foreign assets (net) and government and mortgage bonds.
2. All liquid assets except government and mortgage bonds.

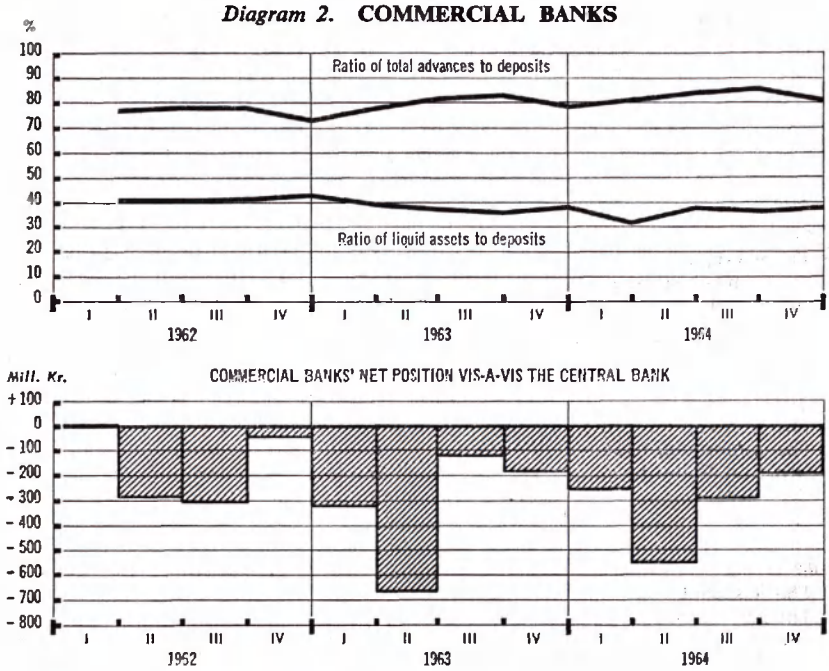
Source: The Swedish Riksbank.

Monetary Policy

Since the middle of 1963, when the expansion of demand became stronger following the earlier slack, a number of measures have been taken to restrict the increase in credit-financed demand (see Table 11). These have included open market operations aimed at reducing bank liquidity, and successive increases in Bank rate, which raised it from 3.5 per cent in the middle of 1963 to 5 per cent in November 1964.

The movements of certain indicators of bank liquidity and the main factors behind them are shown in Table 12. In 1964, the main factors reducing bank liquidity were government borrowing in excess of the budget deficit, the increase in private enterprises' investment reserves deposited on blocked account with the Central Bank, and the increase in the note circulation. But the effect of these transactions was more than offset by the effect of other transactions, notably the strong increase in the official

Diagram 2. **COMMERCIAL BANKS**



Source: Allmän Månadsstatistik.

foreign exchange reserves, so that the commercial banks' liquid assets as defined by the Central Bank[1] rose in 1964, following the decline in 1963. But monetary conditions remained tight; in the second half of the year the banks' net position vis-à-vis the Central Bank deteriorated, the ratio of liquid assets to deposits declined, and the ratio of advances to deposits rose.

The increase in the volume of funds raised in credit and capital markets, significant in 1962 and 1963, slowed down in 1964 (see Table 13). The flow of mortgage credit continued to rise fast, and the public sector also borrowed more than in 1963. But the amount raised by business was smaller than in the previous year, mainly due to a decline in its borrowing from the commercial banks. The commercial banks' total new advances increased in 1964, but the increase mainly affected mortgage credit. The activity of the capital market continued to rise in 1964 (see Table 14), influenced notably by the strong accumulation of funds by the supplementary national

1. Short-term domestic and foreign assets (net) and long-term government and mortgage bonds.

TABLE 13. CREDIT AND CAPITAL MARKETS, 1961-1964

Net amounts, Kr. million.

LENDERS	BORROWERS				
	CENTRAL GOVERNMENT	LOCAL AUTHORITIES	DWELLINGS	INDUSTRY AND COMMERCE	TOTAL
1961:					
The Riksbank	− 250	0	0	0	− 250
The commercial banks	0	50	125	425	600
Other credit institutions	− 100	325	2,400	825	3,450
Private persons	0	0	100	500	600
Total	− 350	375	2,625	1,750	4,400
1962:					
The Riksbank	− 550	0	0	0	− 550
The commercial banks	1,050	100	200	1,950	3,300
Other credit institutions	− 850	750	2,600	1,350	3,850
Private persons	− 250	50	100	500	400
Total	− 600	900	2,900	3,800	7,000
1963:					
The Riksbank	350	0	100	50	500
The commercial banks	− 700	50	900	2,050	2,300
Other credit institutions	600	850	2,750	1,150	5,350
Private persons	− 50	50	50	300	350
Total	200	950	3,800	3,550	8,500
1964 (Preliminary):					
The Riksbank	− 250	0	100	0	− 150
The commercial banks	0	100	1,200	1,600	2,900
Other credit institutions	400	1,100	3,000	1,250	5,750
Private persons	100	100	0	400	600
Total	250	1,300	4,300	3,250	9,100

Source: The Preliminary National Budget for 1964 and 1965, Swedish submissions to OECD.

pension system introduced in 1960. Net new issues of fixed interest securities and equities in 1964 represented more than 7 per cent of GNP, higher than in many other countries; the supplementary pension fund supplied about half of this.

The more restrictive monetary policy coupled with strong demand for funds has led to a sharp increase in interest rates. The yield on long-term government bonds, for example, rose from about 4.75 per cent in the first half of 1963 to about 6 per cent at the end of 1964. Industrial bond yields showed a similar increase, and the commercial banks' lending rates have increased rather more than this.

TABLE 14. **CAPITAL MARKET, NET FLOWS**[1]

Million kronor.

	1960	1961	1962	1963	1964
Long-term bonds	2,096	1,577	3,535	3,229	4,131
Shares	346	602	427	363	485
Loans etc., from capital market institutions	1,836	2,114	2,075	2,457	2,905
Total	4,278	4,293	6,037	6,049	7,521
Per cent of GNP	6.8	6.2	8.1	7.5	7.8

1. According to Central Bank's definitions.

Source: Annual Report of Riksbank, 1964, and Preliminary National Budget for 1965.

TABLE 15. **INTEREST RATES**

Per cent at middle of last month of period.

	BANK RATE	COMMERCIAL BANKS' LENDING RATES[1]	GOVERNMENT BONDS[2]	INDUSTRIAL BONDS[3]
1962	4.0	5.75	4.93	5.66
1963: 1 st qtr.	3.5	5.25	4.60	5.12
2nd qtr.	4.0	5.75	4.96	5.97
3rd qtr.	4.0	5.75	5.18	5.82
4th qtr.	4.0	5.75	5.22	5.77
1964: 1st qtr.	4.5	6.25	5.58	6.15
2nd qtr.	4.5	6.25	5.64	6.13
3rd qtr.	4.5	6.25	5.66	6.14
4th qtr.	5.0	7.00	5.87	6.37

1. Three months' loans against security (other than bonds and mortgages) within 50 per cent of its value.
2. With 15 years to maturity.
3. 5.25 to 6 per cent nominal rate.

Source: Monthly Digest of Swedish Statistics.

The Government Budget

Recent and prospective movements in the main items of the budget are summarized in Table 16. The surplus on current and investment account (financial savings) fell considerably between 1962-1963 and 1963-1964 and the overall balance changed to show a small deficit. Expenditure rose by 9 per cent. The fact that tax revenue rose much more moderately

largely reflected a sharp increase in the transfer of tax revenue to local authorities in 1963-1964[1]. Moreover, the final settlement of tax liabilities for the preceding year resulted in a net reimbursement from the Government to the taxpayers. The budget was probably rather less expansionary in 1963-1964 than inspection of the change in the balance would suggest; the release of investment funds and higher government lending for housebuilding had had important effects on employment and economic activity in 1962-1963, but were not significantly reflected in the budget for that period. (The investment funds affect the budget [tax receipts] when they are set aside and not when they are released, and loans for housebuilding are not paid out until the house or dwelling has been completed.)

Revised estimates presented in January suggest that the 1964-1965 budget will show an overall deficit of Kr. 550 million. This is rather less than originally envisaged, because the tax base has increased faster than expected. Indeed, government savings are likely to turn out higher than last year, despite substantial increases in public consumption and transfer expenditures, and a temporary tax credit to stimulate investment in machinery and equipment. But higher government lending for house-building brings the overall deficit above the 1963-1964 level. In the first eight months of the fiscal year, however, the deficit was only slightly higher than a year earlier.

The budget proposal for 1965-1966 envisages a further acceleration in the rise in expenditure by more than 14 per cent. Transfer payments are rising particularly fast (17 per cent) partly because of increases in children's allowances and transfers to local authorities; the increases in consumption and investment are also considerable (11 to 12 per cent). The sharp increase in expenditure both in 1964-1965 and 1965-1966 can to some extent be ascribed to the fact that the Government, from the beginning of 1965, took over some expenditures which had earlier been the responsibility of the local authorities; excluding these, the rise in central government consumption and investment in 1965-1966 is estimated at 9 per cent in current prices. Receipts are expected to rise less than expenditures, resulting in some decline in the estimated financial savings. The budget includes a further increase in government lending, but the granting of new loans for house-building will be restricted to ease the strain on the building sector. The overall deficit is likely to rise to almost Kr. 1 billion, about 1 per cent of GNP. In the first half of the fiscal year 1965-1966, however, the deficit will not rise much from its current level and the calendar year 1965 should show a deficit of about the same size as the one realised in 1964.

1. The Central Government collects all tax receipts. The share of these paid to local authorities in any one year consists of two components. First, an advance on the current year's tax collections is made on the basis of the latest known tax base, i.e., the income level prevailing two years earlier. Second, final settlement is made for this earlier year. The sharp increase in the local authorities' tax revenues received in 1963-1964 reflected a rise in both components because of the strong increase in taxable incomes between 1960 and 1961.

Table 16. CENTRAL GOVERNMENT BUDGET

Million kronor.

	Calendar year				Fiscal year			
	1962 actual	1963 actual	1964 preliminary	1965 forecast	1962-63 actual	1963-64 actual	1964-65 preliminary	1965-66 forecast
1. Revenue	19,230	19,886	22,250	25,750	19,869	20,927	23,900	26,880
of which: direct taxes	8,921	8,556	9,750	11,350	9,025	8,952	10,740	11,200
indirect taxes	8,931	9,841	10,840	12,340	9,402	10,508	11,160	13,470
2. Gross investments	3,678	3,869	4,220	4,590	3,834	4,144	4,340	4,870
3. Consumption	4,527	5,106	5,670	6,790	4,862	5,336	6,370	7,070
4. Transfers	9,432	10,190	11,460	13,220	9,881	10,711	12,200	14,240
5. Total 2 to 4	17,637	19,165	21,350	24,600	18,577	20,191	22,910	26,180
6. Financial savings (1 − 5)	+ 1,593	+ 721	+ 900	+ 1,150	+ 1,292	+ 736	+ 990	+ 700
7. Lending	1,030	733	1,160	1,400	953	822	1,540	1,660
8. Total expenditure (5 + 7)	18,667	19,898	22,510	26,000	19,530	21,013	24,450	27,840
9. Overall balance (1 − 8)	+ 563	− 12	− 260	− 250	+ 339	− 86	− 550	− 960

Source: Budget Proposals 1964 and 1965.

Note. Calendar year estimates have been derived from fiscal year figures and are uncertain.

The expected rise in the deficit will largely be felt in the second half of the fiscal year, reflecting mainly the timing of certain changes in taxation.

The changes in taxation include a cut in direct taxes from the beginning of 1966 and a substantial increase in children's allowances from 1st July 1965. To offset the effect of this on the budget, and to achieve a net increase in budget receipts of Kr. 750 million, limiting the overall deficit to about Kr. 1 billion, Parliament has approved, with effect from 1st July 1965, an increase from 6 to 9 per cent in the general sales tax, increases in indirect taxes on petrol and cigarettes and adjustments, or abolition, of certain other indirect taxes. In order not to discourage the rise in business investment, machinery and equipment should, according to the budget, be exempted from the rise in the general sales tax. But the budget also proposes the abolition of the investment tax credit introduced last year.

Labour Market Policy

Sweden's active labour market policy has been continued. Given the shortage of labour prevailing over the last two years, the emphasis has been on measures to increase the supply of labour — rather than demand for it — by facilitating both regional and occupational mobility. Regional mobility has been encouraged by granting travelling allowances, family allowances and starting allowances. Mobility between professions and trades has been increased by an extension of re-training courses and vocational guidance. The number of unemployed on training courses has risen to about 37,000 a year, about 1 per cent of the labour force. Nevertheless, despite the general shortage of labour, there has still been need for measures to increase employment in Northern Sweden, although the population of

TABLE 17. NUMBER OF UNEMPLOYED ON TRAINING COURSES

Monthly average during fiscal year.

	TOTAL	*of which:* WOMEN
1959-1960	5,495	730
1960-1961	7,416	1,177
1961-1962	9,065	2,137
1962-1963	11,655	3,425
1963-1964	12,987	4,210

Source: Labour Market Board.

this region has declined in recent years. Public investment has been used for this purpose, and investment funds have been released to encourage the industrial development of Northern Sweden. The use of investment funds for regional development will be discontinued when a new system of localisation grants and loans will be adopted, probably by the middle of 1965.

Policy Problems

From the point of view of demand-management, the main problems facing the authorities have changed little over the past year:

a) Although no very serious imbalance has developed, 1964 was marked by some tendency towards overheating. This was mainly reflected in a very tight labour market, with an acceleration of wage-drift. On the basis of the assumptions adopted in the national budget for 1965, the strain on the labour market is unlikely to ease in the present year; it may well increase.

b) The pressure of demand has been particularly strong in construction, and wages have risen faster in this sector than elsewhere. A continuation of this trend might complicate the task of keeping the rise in wages within reasonable limits.

c) In 1964, for the third year in succession, the movement of industrial investment was relatively weak. Ever since its strong increase between 1959 and 1961, total investment has continued to absorb a fairly important proportion of total resources; but there is rather general agreement in Sweden that capital expenditure by industry ought to resume an upward trend. Official forecasts, based on business surveys, point to some rise this year. But interpretation of these surveys is difficult; in particular, some uncertainty may remain about the ability of business to finance higher investment, given the monetary restraints at present in force.

In these circumstances, the main policy issues would seem to be twofold.

a) Is there need for a rather more restrictive overall demand-management policy?

b) Should there not be a rather different mix of policies, with a tighter budget combined with some relaxation of monetary restraints?

There is little indication of any marked imbalance in most commodity markets, and the deficit on the current account of the balance of payments is rather small. But there is strong pressure on the labour market, and prospects point to a strengthening rather than an easing of these pressures.

In these circumstances, there is need for a tighter overall demand-management policy. The shortage of labour is particularly pronounced in the building and construction industry, partly because of the rise in public investment and residential construction; the latter sector is also heavily influenced by government policy. The National Budget envisaged some slowdown of the rise in public investment and residential construction in 1965. More recent indicators suggest, however, that starts of new house-building projects in the first two months of this year have been higher than in 1964. As a consequence, the realization of government plans for residential construction in 1965 would require a rather considerable decrease in housing starts, preferably during spring and summer. From the point of view of stability in the labour market, restrictive policies with regard to public investment and residential construction are obviously called for. This should contribute to easing the demand for funds on the part of the public sector as well as housebuilders, and increase the likelihood of a revival of industrial investments.

Given existing budget policy and the trend of residential construction, there is not much scope for a relaxation of monetary restraints applying to industry and trade. The maintenance of reasonable economic balance may even require some further tightening of credit policy. This is clearly unfortunate from the point of view of industrial investment. It is possible that an increase in this type of investment may be hampered by lack of credit facilities.

Although foreign exchange controls serve to limit the inflow of foreign funds to Sweden, a demand-management policy allowing a relaxation of monetary restraints would also seem to be favourable from an international point of view. The inflow of foreign funds and the significant rise in foreign exchange reserves in 1964 were no doubt influenced by the tight monetary conditions prevailing in Sweden. The inflow of foreign funds consisted mainly of commercial credits; the total of other types of capital changed to show an outflow. Certain factors point to a decline in the inflow. Certain factors point to a decline in the inflow in 1965, but the prospect must remain uncertain so long as very tight monetary conditions are maintained in Sweden.

The contractual increases in wage rates resulting from the 1964 settlements would not seem to have been excessive. But wage-drift has risen considerably, and the fact that its incidence as between industries has been uneven may complicate future wage negotiations. The main condition for reducing wage-drift to more normal proportions is clearly to achieve a better balance in the labour market, particularly in the construction industry. But it will probably be an important task to prevent the wage differentials that have arisen from generating a wage-wage spiral.

The increase in indirect taxes from 1st July 1965, increasing consumer prices by some 2.5 per cent, may also complicate the re-negotiation of

existing wage contracts which expire early next year. This increase, together with the reduction of direct taxes from the beginning of 1966, represents a further step towards greater emphasis on indirect taxes. This policy is motivated by a number of considerations; the authorities feel that indirect taxes give less scope for tax evasion, they may have less adverse effect on people's willingness to work, and they can be quickly changed. But it would be unfortunate if the increase in indirect taxes should lead to an excessive increase in wages and salaries, particularly because its effect on the taxpayers will to a large extent be offset by a cut in direct taxation and higher family allowances. In the view of the Swedish authorities, shifts in taxation like the ones recently adopted should not justify an increase in wages and salaries.

III. SUMMARY

The Swedish economy has expanded fast in recent years, notably in 1964, and further strong expansion would seem likely in 1965, although at a lower rate than last year. There is a danger that pressures on the labour market will continue, and possibly increase, with the likelihood of further considerable wage-drift. It would seem important to achieve a better overall balance in the labour market, and particularly to ease the strain in the building and construction sector. To these ends a rather tighter overall demand-management policy would have been desirable, particularly one including a more restrictive budget and stronger restraint on residential construction activity. This would have facilitated the financing of other types of investment, and increased the likelihood of a revival of industrial investment. It is important to prevent growing wage differentials and higher taxation from generating excessive increases in nominal incomes.

STATISTICAL ANNEX

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TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURE

S.Kr. million at 1958 prices.

	1955[1]	1956[1]	1957[1]	1958	1959	1960	1961	1962	1963
1. Private consumption	31,189	32,235	32,777	33,932	35,157	35,693	37,514	38,897	40,761
a) Durables	2,851	3,004	3,353	3,607	4,151	4,061	4,570	4,670	5,025
b) Other	28,338	29,231	29,424	30,325	31,006	31,632	32,944	34,227	35,736
2. Public consumption	8,826	9,233	9,493	9,794	10,284	10,360	10,745	11,559	12,143
a) Defence	2,565	2,629	2,608	2,694	2,823	2,818	2,750	3,138	3,180
b) Civil	6,261	6,604	6,885	7,100	7,461	7,542	7,995	8,421	8,963
3. Gross domestic fixed asset formation	9,998	10,290	10,620	11,540	12,691	13,258	14,237	14,860	15,826
a) Residential construction	2,548	2,687	2,745	2,952	3,089	3,019	3,247	3,524	3,783
b) Other construction	3,919	4,026	4,167	4,580	5,216	5,420	5,697	5,878	6,602
c) Machinery and equipment	3,531	3,577	3,708	4,008	4,386	4,819	5,293	5,458	5,441
4. Change in stocks	1,022	727	1,178	− 78	− 272	1,931	1,517	671	− 356
5. Exports of goods and services	12,338	13,539	15,172	15,201	15,499	17,329	17,998	19,298	20,720
6. Imports of goods and services	12,825	13,654	15,028	15,458	15,567	18,087	18,278	19,460	20,837
7. Gross national product at market prices	50,548	52,370	54,212	54,931	57,792	60,484	63,733	65,825	68,257

1. Estimates by the OECD Secretariat made on the basis of fixed 1954 prices.

Source: Swedish submissions to the OECD.

Table II. GROSS NATIONAL PRODUCT AND EXPENDITURE

S.Kr. million at current prices.

	1955	1956	1957	1958	1959	1960	1961	1962	1963
1. Private consumption	28,054	30,273	31,762	33,932	35,388	37,163	40,091	43,439	46,888
a) Durables	2,715	2,915	3,334	3,607	4,135	4,211	4,803	5,128	5,587
b) Other	25,339	27,358	28,428	30,325	31,253	32,952	35,288	38,311	41,301
2. Public consumption	7,555	8,301	9,195	9,794	10,472	11,105	12,000	13,776	15,227
a) Defence	2,196	2,397	2,556	2,694	2,826	2,964	2,999	3,604	3,788
b) Civil	5,359	5,904	6,639	7,100	7,646	8,141	9,001	10,172	11,439
3. Gross domestic fixed asset formation	9,054	9,784	10,527	11,540	12,720	14,135	15,681	17,087	18,797
a) Residential construction	2,360	2,569	2,727	2,952	3,110	3,247	3,607	4,093	4,569
b) Other construction	3,565	3,840	4,135	4,580	5,263	5,833	6,321	6,801	7,930
c) Machinery and equipment	3,129	3,375	3,665	4,008	4,347	5,055	5,753	6,193	6,298
4. Change in stocks	1,021	771	1,272	− 78	− 202	1,523	1,177	522	− 271
5. Exports of goods and services	12,216	13,862	15,729	15,201	15,151	17,347	18,227	19,319	20,937
6. Imports of goods and services	12,601	13,979	15,808	15,458	15,167	17,898	18,119	19,388	21,127
7. Gross national product at market price	45,299	49,012	52,677	54,931	58,362	63,375	69,057	74,755	80,451

Source: Swedish submissions to the OECD.

TABLE III. GROSS FIXED ASSET FORMATION

S.Kr. million at 1958 prices.

	1955	1956	1957	1958	1959	1960	1961	1962	1963
A. BY INDUSTRY :									
Agriculture, forestry and fishing	484	456	462	448	472	500	613	589	604
Manufacturing, mining and construction	2,137	2,171	2,152	2,553	2,754	3,064	3,747	3,772	3,739
Electricity, gas and waterworks	1,086	1,135	1,227	1,408	1,522	1,537	1,619	1,529	1,631
Transportation and communication	2,436	2,487	2,564	2,607	3,041	3,306	3,061	3,223	3,450
Dwellings	2,548	2,687	2,745	2,952	3,089	3,019	3,247	3,524	3,783
Public administration	220	197	245	255	282	278	280	336	372
Other service industries	1,087	1,157	1,225	1,317	1,531	1,554	1,670	1,887	2,247
Total	9,998	10,290	10,620	11,540	12,691	13,258	14,237	14,860	15,826
B. INSTITUTIONAL CLASSIFICATION :									
Private enterprise[1]	6,026	6,232	6,254	6,952	7,415	8,173	9,025	9,226	9,459
Public enterprise[1]	2,365	2,416	2,522	2,674	3,022	3,150	3,289	3,546	3,793
General government[1]	1,607	1,642	1,844	1,914	2,254	1,935	1,923	2,088	2,574
C. PRODUCT CLASSIFICATION :									
Dwellings	2,548	2,687	2,745	2,952	3,089	3,019	3,247	3,524	3,783
Other building and construction	3,919	4,026	4,167	4,580	5,216	5,420	5,697	5,878	6,602
Transport equipment[1]	1,374	1,405	1,465	1,451	1,584	1,931	1,760	1,869	1,899
Other equipment[1]	2,157	2,172	2,243	2,557	2,802	2,888	3,533	3,589	3,542

1. Estimates by the OECD Secretariat made on the basis of fixed 1954 prices (1955-1957) and fixed 1959 prices (1958-1963).

Source: OECD General Statistics and Swedish submission to the OECD.

TABLE IV. **DEVELOPMENT OF GROSS INVESTMENTS 1961-1965 (including maintenance)**

	PERCENTAGE CHANGE IN 1959 PRICES			1964 IN MILLION KR. CURRENT PRICES	CHANGE 1964-1965 IN 1964 PRICES	
	1961-1962	1962-1963	1963-1964		MILLION KRONOR	PER CENT
Buildings and constructions:						
Private including dwellings	1.5	7.0	4.0	8,955	318	3.5
Private excluding dwellings	− 1.0	5.0	− 0.5	3,958	249	6.5
Central government including dwellings	− 1.0	3.0	3.0	3,156	124	4.0
Central government excluding dwellings	− 1.0	3.0	3.0	3,142	125	4.0
Local government including dwellings	14.0	12.0	11.0	5,976	552	9.0
Local government excluding dwellings	13.0	14.5	10.5	4,433	540	12.0
Total including dwellings	4.5	7.5	6.0	18,087	994	5.5
Total excluding dwellings	3.5	7.5	4.5	11,533	914	8.0
Machinery and apparatus:						
Private	2.0	2.0	7.0	9,257	500	5.5
Central government	16.0	− 1.0	5.0	3,439	97	3.0
Local government	− 1.5	19.5	11.5	772	35	4.5
Total	5.5	2.0	6.5	19,468	632	4.5
Total:						
Private including dwellings	2.0	4.5	5.5	18,212	818	4.5
Private excluding dwellings	1.0	3.0	4.5	13,215	749	5.5
Central government including dwellings	7.5	0.5	4.0	6,595	221	3.5
Central government excluding dwellings	7.5	0.5	4.0	6,581	222	3.5
Local government including dwellings	12.0	12.5	11.0	6,748	587	8.5
Local government excluding dwellings	10.5	15.0	10.5	5,205	575	11.0
Total including dwellings	5.0	5.0	6.5	31,555	1,626	5.0
Total excluding dwellings	4.5	4.5	5.5	25,001	1,546	6.0

Source: Preliminary National Budget 1965.

TABLE V. PRIVATE CONSUMPTION 1963-1965

	S. KR. MILLION IN CURRENT PRICES			PERCENTAGE CHANGE IN VALUE		PERCENTAGE CHANGE IN VOLUME	
	1963 ACTUAL	1964 PRELIMINARY	1965 FORECAST	1963-1964 PRELIMINARY	1964-1965 FORECAST	1963-1964 PRELIMINARY	1964-1965 FORECAST
Foodstuffs, liquors, wine and tobacco	17,139	18,289	19,500	6.7	7	3.5	1
Dwellings, fuels and electricity	6,647	7,280	8,000	9.5	10	3.8	3
Clothing	5,374	5,750	6,200	7.0	7	4.5	3
Inventories	3,968	4,368	4,700	10.1	7	7.1	3
Automobiles, petrol	4,669	5,192	5,600	11.2	7	8.9	4
Journeys	1,496	1,538	1,600	2.8	4	0.9	1
Health protection	2,892	3,102	3,300	7.3	8	5.3	4
Other	4,005	4,273	4,700	6.7	10	0.6	4
Total	46,190	49,792	53,526	7.8	7.5	4.4	2.5

Source: Preliminary Swedish Budget 1965.

Table VI. INDICATORS OF RECENT DEVELOPMENT

	Units	1961 1st qtr.	1961 2nd qtr.	1961 3rd qtr.	1961 4th qtr.	1962 1st qtr.	1962 2nd qtr.	1962 3rd qtr.	1962 4th qtr.	1963 1st qtr.	1963 2nd qtr.	1963 3rd qtr.	1963 4th qtr.	1964 1st qtr.	1964 2nd qtr.	1964 3rd qtr.	1964 4th qtr.
1. *Output of major Products:*																	
a) Pig iron and sponge iron	1,000 metric tons	487.0	481.3	407.7	535.6	574.5	534.1	350.8	487.1	545.6	517.7	383.2	570.9	603.1	591.0	516.6	643.4
b) Ingots, finished steel castings, etc.	—	950.9	884.4	777.4	942.8	1,002.2	921.3	740.3	937.5	1,025.5	982.0	809.5	1,064.8	1,150.2	1,116.8	1,012.1	1,206.3
c) Finished steel	—	611.3	603.7	516.6	692.6	655.8	622.8	510.6	717.6	682.8	667.6	574.8	782.3	778.0	757.6	701.3	859.2
d) Pulp	—	1,024.0	955.0	944.0	1,019.0	1,002.0	918.0	888.0	1,050.0	1,119.0	1,056.0	1,040.0	1,247.0	1,248.0	1,225.0	1,206.0	1,333.0
e) Paper and board	—	581.8	547.3	551.8	611.1	623.9	575.2	565.7	640.4	671.2	626.0	627.8	747.4	732.7	723.3	671.0	788.8
2. *Dwellings started*	thousand	11.8	19.5	21.5	23.2	12.8	24.4	26.0	28.9	8.3	23.3	26.1	29.3	11.4	30.1	31.1	22.1
Dwellings under construction	—	73.9	76.0	81.4	81.8	78.8	84.4	94.4	99.5	89.7	94.9	103.2	105.5	97.1	105.2	118.0	113.2
3. *Manpower:*																	
a) Number of unemployed, seasonally adjusted	—	20.3	20.8	21.0	22.0	22.4	24.3	23.7	23.7	30.5	22.6	23.0	21.8	18.4	22.7	24.4	22.3
b) Jobs vacant, seasonally adjusted	—	46.8	47.0	46.0	47.0	45.6	43.2	42.5	44.6	46.2	49.9	50.7	51.3	52.5	57.1	53.7	57.1
c) Proportion of insured labour force unemployed	per cent	1.9	1.1	0.6	1.2	2.1	1.3	0.8	1.2	2.7	1.2	0.7	1.1	1.6	1.2	0.8	1.1
d) Employment in industry, seasonally adjusted	1960 = 100	101	102	102	102	102	102	102	101	100	101	101	100	101	102	102	—
4. *Turnover in Private Retail Trade*	2nd Quarter 1955 = 100	112	128	123	149	113	137	131	160	124	146	139	174	134	155	151	—

Source: OECD Statistical Bulletin, Allmän Månadsstatistik.

Table VII. UNEMPLOYMENT IN 1964 (and 1963)

	Registered unemployed: Total 1964	Registered unemployed: Total change from previous year	Unemployed: South and Mid-Sweden 1964	South and Mid-Sweden change from previous year	Värmland, Dalarna and Norrland 1964	Värmland, Dalarna and Norrland change from previous year	Employed in relief work 1964	Employed in relief work change from previous year	On training courses 1964	On training courses change from previous year
January	29,760	— 26,861	15,622	— 23,600	14,138	— 3,261	11,415	2,055	13,298	631
February	27,610	— 13,085	15,777	— 11,405	11,833	— 1,680	13,523	793	15,079	853
March	25,842	— 6,639	14,708	— 5,851	11,134	— 788	13,806	— 762	15,717	444
April	26,589	— 3,502	12,203	— 2,312	14,386	— 1,190	10,673	— 3,487	15,879	1,640
May	21,567	2,176	8,425	— 641	13,142	2,817	7,332	— 4,624	14,430	1,450
June	14,931	294	6,826	— 595	8,105	889	5,631	— 1,659	12,112	1,302
July	11,919	516	5,959	— 117	5,960	633	3,173	— 1,714	10,213	909
August	17,080	1,141	8,671	240	8,409	901	3,857	— 1,398	10,313	718
September	17,615	971	8,957	222	8,658	749	4,940	— 852	12,800	1,457
October	18,147	5	9,384	— 85	8,763	90	6,405	— 1,032	14,187	1,481
November	21,215	540	10,681	75	10,534	465	7,518	— 1,543	15,191	1,628
December	21,627	1,010	10,621	660	11,006	350	9,097	— 1,430	15,248	2,434

Source: The Swedish Labour Market Board.

TABLE VIII. BALANCE OF PAYMENTS[1]

$ million.

	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964[2]	1965[3]
Exports (f.o.b.)	1,734	1,955	2,148	2,099	2,210	2,567	2,746	2,926	3,203	3,674	3,996
Imports (c.i.f.)	2,006	2,225	2,446	2,382	2,415	2,902	2,931	3,124	3,393	3,855	4,182
Trade balance	− 272	− 270	− 298	− 283	− 205	− 335	− 185	− 198	− 190	− 181	− 186
Shipping earnings, net	198	235	279	242	240	262	267	279	283	290	290
Other services, net	− 7	5	− 6	− 16	− 41	− 39	− 70	− 110	− 124	− 141	− 164
Current balance	− 81	− 30	− 25	− 57	− 6	− 112	12	− 29	− 31	− 32	− 60
Registered capital transactions	2	− 22	− 6	− 2	− 16	− 15	− 6	− 2	− 42	40	(19)
Errors and omissions	87	94	46	89	33	96	168	141	45	154	..
Change in foreign exchange reserves	8	42	15	30	11	− 31	174	110	− 28	162	..

1. According to Swedish definitions; the main differences from the OECD standard definitions are that: *a)* imports are registered c.i.f. and not f.o.b. with a corresponding difference in shipping earnings; *b)* services are registered net and not gross. The current balance correspond to the OCED definition with a negligible difference due to non-monetary gold transactions.
2. Preliminary figures.
3. Forecast.

Source: Preliminary National Budget 1963, and 1965, with some official adjustments.

TABLE IX. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

S.Kr.million.

	FISCAL YEAR BEGINNING JULY:											
	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
1. Current revenue												
Direct taxes	7,534	8,226	8,597	9,570	10,151	11,467	11,832	12,854	15,414	16,732	18,509	19,262
Indirect taxes	4,092	4,469	4,364	4,803	5,147	5,756	5,723	5,797	6,918	7,508	7,794	7,544
Other	2,954	3,180	3,594	4,137	4,390	4,937	5,354	6,159	7,528	8,156	9,531	10,566
2. Current expenditure	488	577	639	630	614	774	755	898	968	1,068	1,184	1,152
Purchases of goods and services	6,418	6,775	7,213	7,773	8,458	9,785	10,543	11,312	11,988	12,993	14,963	16,244
Defence	3,113	3,285	3,479	3,767	4,021	4,396	4,605	4,924	5,224	5,888	6,737	7,540
Civil	1,934	2,062	2,189	2,328	2,453	2,663	2,739	2,882	2,895	3,288	3,664	3,904
Subsidies	1,179	1,223	1,290	1,439	1,568	1,733	1,866	2,042	2,329	2,600	3,073	3,636
Interest	562	402	370	513	490	684	715	699	778	881	883	885
Current transfers	301	341	350	432	460	573	599	763	1,011	899	793	830
3. Net current savings (1 − 2)	2,442	2,747	3,014	3,061	3,487	4,132	4,624	4,926	4,975	5,325	6,550	6,989
4. Depreciation and other operating provisions	1,116	1,451	1,384	1,797	1,693	1,682	1,289	1,542	3,426	3,739	3,546	3,018
5. Gross savings (3 + 4)	478	443	598	536	503	725	637	760	871	874	1,089	1,028
6. Gross fixed asset formation	1,594	1,894	1,982	2,333	2,196	2,407	1,926	2,302	4,297	4,613	4,635	4,046
	1,514	1,553	1,473	1,562	1,612	1,723	2,115	2,353	2,281	2,319	2,558	2,654
7. Surplus on current and fixed investment account (5 − 6)	80	341	509	771	584	684	− 189	− 51	2,016	2,294	2,077	1,392
8. Lending	758	754	1,045	1,181	970	1,375	1,146	1,254	1,156	1,233	1,234	1,137
9. Net capital transfers to other sectors	167	193	236	230	262	317	340	364	395	431	454	585
10. Surplus before borrowing (7 − 8 − 9)	− 845	− 606	− 772	− 640	− 648	− 1,008	− 1,675	1,669	465	630	389	− 330

1. According to OECD definitions.

Source: Swedish submission to the OECD.

Table X. CENTRAL GOVERNMENT FINANCES[1]

Calendar year, S.Kr. million.

	1959 ACTUAL	1960 ACTUAL	1961 ACTUAL	1962 ACTUAL	1963 ACTUAL	1964 PRELIMINARY	1965 FORECAST
Current receipts	12,847	14,745	17,440	19,230	19,886	22,250	25,750
Direct taxes	6,422	6,790	8,553	8,921	8,556	9,750	11,350
Indirect taxes	5,452	6,812	7,634	8,931	9,841	10,840	12,340
Other	973	1,143	1,253	1,378	1,489	1,660	2,060
Current and investment expenditures	13,801	14,747	15,724	17,637	19,165	21,350	24,600
Transfer payments	7,334	7,881	8,481	9,432	10,190	11,460	13,220
Consumption	3,285	3,538	3,937	4,527	5,106	5,670	6,790
Gross investment	3,181	3,328	3,306	3,678	3,869	4,220	4,590
Balance on current and fixed investment account	− 954	− 2	1,716	1,593	721	900	1,150
Lending	1,072	963	1,220	1,030	733	1,160	1,400
Balance on total account	− 2,026	− 965	496	563	− 12	− 260	− 250

1. According to Swedish definitions.

Source: National budgets for 1963, 1964 and 1965.

Table XI. THE NATIONAL PENSION FUND

S.Kr. million.

	1960	1961	1962	1963	1964
Contributions paid	468	699	1,346	1,891	2,442
Supplementary pensions paid out	—	—	—	36	102
Assets by kind of objects, nominal value:					
Bonds	406	985	2,262	3,741	5,654
Debentures	15	23	140	264	401
Municipal loans excl. bonds	41	136	276	445	724
Other	18	61	170	314	573
Total	480	1,205	2,848	4,764	7,352
Investments by different groups of borrowers, cash values:					
Government bonds	135	104	176	435	700
Housing credits	176	606	1,276	1,978	3,021
Agriculture	61	40	74	166	250
Municipal loans	15	154	342	665	1,140
Loans to Swedish enterprises	84	267	869	1,312	1,820
Other	—	19	83	208	350
Total	471	1,190	2,820	4,764	7,281

Source: Swedish submission to the OECD.

Table XII. ISSUES OF BONDS AND SHARES, 1959-1963

Billion Kronor.

	BONDS	SHARES	TOTAL
1959	3.3	0.6	3.9
1960	2.5	0.9	3.4
1961	2.4	1.6	4.0
1962	4.9	1.2	6.1
1963	5.8	0.9	6.7
1964	5.4	0.9	6.3

Source: Allmän Månadsstatistik.

TABLE XIII. MONETARY SURVEY

Millions of Kronor at end of period.

	1957	1958	1959	1960	1961	1962	1963	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.
Central Bank:											
1. Foreign assets, net and gold	2.360	2,445	2,166	2,435	3,319	3,869	3,619	3,626	3,812	4,224	4,476
2. Swedish treasury bills and bonds	5,050	4,545	4,893	6,005	5,702	4,683	5,037	3,788	3,822	3,509	4,707
3. Advances	84	94	241	6	6	35	240	815	944	625	104
4. Notes in circulation	5,840	6,059	6,266	6,559	6,870	7,330	7,869	7,346	7,611	7,473	8,386
5. Government current deposits	274	158	146	118	209	152	} 306	125	143	45	218
6. Commercial bank current deposits	136	163	138	154	163	182					
7. Other deposits[1]	1,044	361	387	1,155	1,254	904	867	921	986	945	969
Commercial Banks:											
8. Cash	422	457	479	434	472	515	554	416	423	369	482
9. Foreign assets, net	478	546	881	453	472	492	595	802	788	676	576
10. Bonds and treasury bills	4,439	5,223	6,339	5,558	5,673	7,277	6,480	6,430	6,238	5,898	7,111
11. Advances:											
i) Amounts drawn	10,826	11,692	13,125	14,091	14,541	16,196	19,348	20,296	20,498	21,247	21,334
ii) Amounts granted		13,469	15,358	16,293	16,973	18,944	22,459				24,938
12. Current deposits	2,049	1,988	2,733	2,290	2,994	3,204	3,719	2,906	3,569	3,242	4,338
13. Savings deposits	2,143	2,185	2,239	2,312	2,029	2,067	} 20,691	21,999	20,690	21,478	22,311
14. Time deposits	10,071	11,814	13,979	13,922	14,392	16,807					
Savings Banks[2]:											
15. Bonds and treasury bills	885	1,022	1,065	1,148	1,197	1,324	1,316	1,398	1,388	1,415	1,511
16. Advances	8,166	8,852	9,573	10,144	10,906	11,708	12,668	12,920	13,066	13,295	13,530
17. Deposits	9,079	9,806	10,470	11,269	12,066	12,638	13,531	14,284	14,170	14,383	14,544
Other Monetary Data:											
18. Government bond yield[3]	4.33	4.91	4.81	5.18	5.34	4.99	4.93	5.58	5.64	5.66	5.87
19. Official discount rate	5.0	4.5	4.5	5.0	5.0	4.0	4.0	4.5	4.5	4.5	5.0

1. Mainly enterprises' investment reserve deposits.
2. Comprising 84 large savings banks, representing 75 per cent of deposits in all savings banks.
3. Loans with 15 years left to maturity.

Source: Allmän Månadsstatistik, Uppgifter om Bankerna.

TABLE XIV. INDUSTRIAL PRODUCTION

Index 1953 = 100.

	1959	1960	1961	1962 (PREL.)	1963 (PREL.)	1964 (PREL.)
Iron ore	112	130	146	139	145	165
Iron and metal works	151	174	191	195	208	239
Engineering industry (excl. shipyards)	128	146	160	170	176	189
Wood	130	142	148	151	162	180
Paper	153	175	185	192	211	237
Pulp	141	162	169	157	178	205
Food	117	121	124	130	131	135
Spinning, weaving, ready-made clothing, etc.	106	112	118	119	122	124
Leather and shoes	104	108	103	99	104	105
Total	127	140	150	155	164	179

Source: The National Institute of Economic Research.

TABLE XV. DEPOSITS WITH AND LOANS FROM COMMERCIAL BANKS

S.Kr. million.

	DEPOSITS	LOANS	DEPOSITS IN EXCESS OF LOANS
1950	8,930	9,240	— 310
1955	12,609	10,530	2,079
1960	18,524	14,091	4,433
1961	19,415	14,541	4,874
1962	22,080	16,196	5,884
1963	24,410	19,348	5,062
1964	26,649	21,334	5,315
Change; 1950-1955	3,779	1,290	2,489
1955-1960	5,915	3,561	2,354
1960-1963	5,886	5,257	629
1963-1964	2,239	1,986	253

Source: Allmän Månadsstatistik.

TABLE XVI. COMMERCIAL BANKS

S.Kr. million.

	S.KR. MILLION				CHANGE IN LIQUID ASSETS	LIQUID ASSET-DEPOSIT RATIO	LOAN-DEPOSITS RATIO	ADVANCES-DEPOSITS RATIO
	LIQUID ASSETS	TOTAL DEPOSITS	LOANS	TOTAL ADVANCES	*m.kr.*	*per cent*	*per cent*	*per cent*
End 1961	7,759	19,415	6,911	14,541		40.0	35.6	74.9
1st quarter, 1962	8,046	19,558	6,955	14,926	287	41.1	35.6	76.3
2nd — —	8,113	19,759	6,959	15,366	67	41.1	35.2	77.8
3rd — —	8,534	20,528	7,254	16,034	421	41.6	35.3	78.1
4th — —	9.528	22,080	7,767	16,196	994	43.2	35.2	73.4
1st — 1963	8,944	22,491	8,184	17,550	— 584	39.8	36.4	78.0
2nd — —	8,536	22,475	8,613	18,382	— 408	38.0	38.3	81.8
3rd — —	8,258	22,891	8,902	19,037	— 278	36.1	38.9	83.2
4th — —	9,408	24,410	9,391	19,348	1,150	38.5	38.5	79.3
1st — 1964	7,976	24,905	9,537	20,296	— 1,432	32.0	38.3	81.5
2nd — —	9,368	24,259	9,527	20,498	1,392	38.6	39.3	84.5
3rd — —	9,025	24,720	9,655	21,247	— 343	36.5	39.1	86.0
4th — —	9,982	26,649	10,092	21,334	957	37.5	37.9	80.1

Source: Allmän Månadsstatistik., Uppgifter om bankerna.

TABLE XVII. COMMERCIAL BANKS' NET CLAIM ON THE RIKSBANK

S.Kr. millions.

	JAN.	FEBR.	MAR.	APRIL	MAY	JUNE	JULY	AUG.	SEPT.	OCT.	NOV.	DEC.
1959	222	109	65	146	25	− 5	67	20	3	34	− 123	− 12
1960	36	28	− 229	− 91	− 104	− 182	− 114	− 353	− 357	99	− 165	− 23
1961	32	29	− 231	− 375	− 299	− 293	− 205	14	− 201	5	− 109	58
1962	17	25	6	52	− 232	− 285	12	− 46	− 307	− 226	− 220	− 43
1963	− 123	− 236	− 323	− 376	− 504	− 665	− 199	− 86	− 121	− 16	− 278	− 192
1964	− 33	− 46	− 258	− 149	− 180	− 555	− 437	− 374	− 289	− 122	− 419	− 189

Source: Annual report of Riksbank, 1964.

NOTE. The net claim for a month has been calculated as the average of the differences, at the four monthly bank return dates, between commercial banks' sight deposits at the Riksbank and their indebtedness to the Riksbank.

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